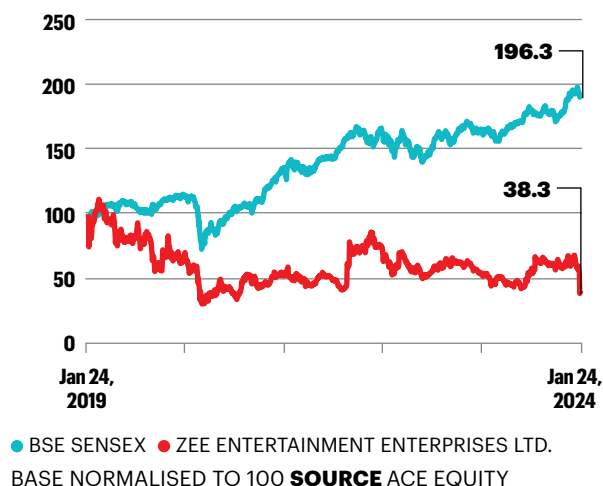


A BRIEF HISTORY

- ▶ **SEPTEMBER 2021:** Zee approves merger with Sony, in a deal pegged at \$10 billion
- ▶ **DECEMBER 2021:** Sony and Zee sign agreement for the merger
- ▶ **OCTOBER 2022:** The Competition Commission of India clears the deal, following in the footsteps of stock exchanges
- ▶ **JUNE 2023:** Sebi bars Essel Group Chairman Subhash Chandra and Zee MD and CEO Punit Goenka from holding any key management position
- ▶ **OCTOBER 2023:** The Securities Appellate Tribunal lifts the ban on Chandra and Goenka
- ▶ **DECEMBER 2023:** Two-year deadline for completing the merger lapses
- ▶ **JANUARY 2024:** Sony calls off the merger

SHARP FALL

- The Zee stock fell as much as 30% on January 23, the day the merger was called off
- Analysts have termed the deal's collapse a "major setback" for Zee



in those two years, and there is the possibility that the two will have a media behemoth to compete with. This is because Reliance Industries' media business and Disney Star are looking to merge their operations, and there are concerns about the merged entity's impact on smaller players, as the broadcasting business will have close to 110 channels.

According to Utkarsh Sinha, MD of Bexley Advisors, a boutique investment bank focussed on the tech and media sectors in India, given how fragmented the media and OTT (over-the-top) businesses are today, scale and heft are critical factors in negotiating content. "I suspect that with the Zee-Sony merger being called off, both parties will find content acquisition harder. Zee owes over \$1 billion to Disney Star for the ICC tournament rights (this was announced last August where Disney Star sub-licensed the television rights) and that will be harder to meet now," he says. A look at the financials reveals how beneficial a

merger would have been for the two. In FY23, Zee had revenues of over ₹8,000 crore, while Sony's stood at ₹6,700 crore.

Sinha expects a wave of consolidation in the sector over the next two to three years, with Sony-Zee having kicked it off and now Reliance-Disney entering the fray. He doesn't rule out the possibility of a big surprise in the altered situation. "With the departure of Sony as a suitor, it would not be surprising to see Reliance roll in Zee as part of its consolidation move. This will not be as a replacement for Disney, which has a significantly richer content base, but as a way to gather additional eyeballs, reduce stress on the consumer wallet and eliminate competition."

Vivek Menon, Managing Partner at NV Capital, a media and entertainment (M&E) credit fund, is clear that both Zee and Sony will operate as separate operating companies as it was two years ago. "The legal implications will now need to be

assessed and this could play out for a long time in the courts," he says. The upshot for the industry, according to him, is that linear television growth is plateauing.

"Cord cutting is gathering momentum. Broadcasters who make the transition seamlessly between linear and non-linear apart from enhancing their bottom line will be in pole position to take advantage of the growing digital market," says Menon. That means striking the right equation between cost and profitability is critical.

The fallout of the failed merger threatens to drag on for some time as both Zee and Sony have taken the legal route. Sony has approached the Singapore International Arbitration Centre (SIAC). Meanwhile, Zee has knocked on the National Company Law Tribunal's (NCLT) doors, asking it to enforce the merger scheme.

For investors, the Zee stock has been a disappointment having plummeted over 30% the day the merger was called off. A report put